

Done!

Cambridge
International
AS & A LevelCambridge International Examinations
Cambridge International Advanced Subsidiary and Advanced Level**ECONOMICS**

Paper 1 Multiple Choice

9708/11**October/November 2016****1 hour**

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

READ THESE INSTRUCTIONS FIRST

Write in soft pencil.

Do not use staples, paper clips, glue or correction fluid.

Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

DO **NOT** WRITE IN ANY BARCODES.There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.**Read the instructions on the Answer Sheet very carefully.**

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Any rough working should be done in this booklet.

Zarak Mushtaq !

Solved with reasons !


This document consists of **12** printed pages.

Research :- Ahead 2
of longrun, thus very longrun

- 1 To increase production a firm in industry X needs to install capital equipment, while a firm in industry Y needs to research and introduce a new technology.

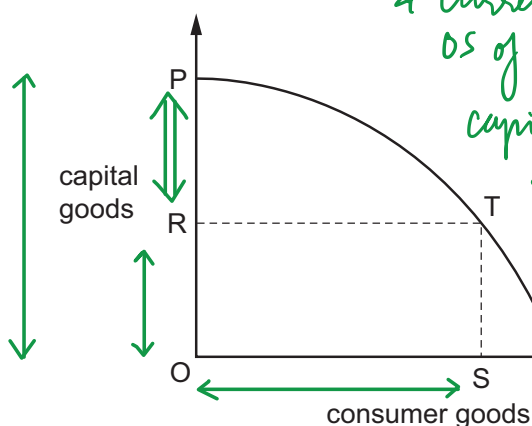
What time periods are illustrated by these cases?

long run process, can't be done quickly

	industry X	industry Y
A	short run	long run
B	long run	long run
☒ C	long run	very long run
D	very long run	very long run

* The very long run is a production time period that is so long that all productive inputs are variable, including those that are variable in the long run (labor and capital) as well as those that change slowly and/or are beyond the control of the firm. In the very long there are no fixed inputs.

- 2 The production possibility curve for an economy producing capital goods and consumer goods is represented by the line PQ.



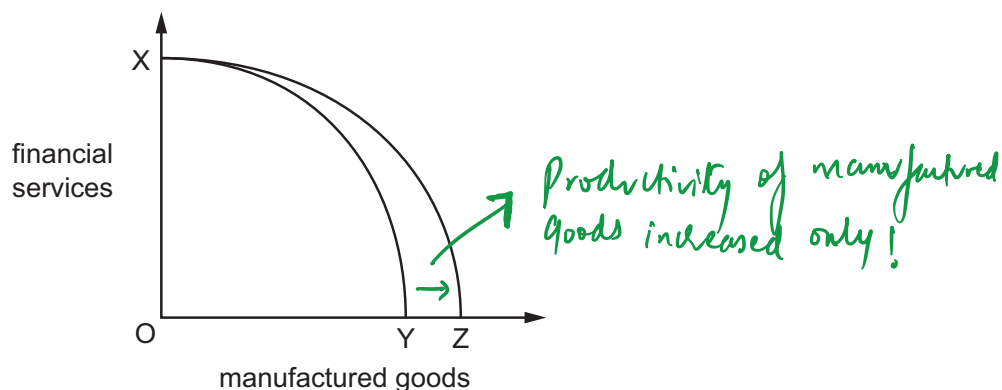
* Currently operating at 'T', represents OS of consumer goods and OR of capital goods, whereas total of 'OP' of capital goods could have been produced, therefore 'PR' is forgone.

What is the opportunity cost of producing OS of consumer goods?

- A OR of capital goods (It is being produced along with 'OS')
- ☒ B PR of capital goods
- C SQ of consumer goods (opportunity cost of 'OR')
- D SQ of consumer goods + PR of capital goods (No)

3

- 3 In the diagram XY is an economy's production possibility curve.



What could cause the curve to shift to XZ?

- A a fall in productivity in manufacturing (inward shift)
 B a fall in the price of manufactured goods (Actual output changes)
 C a higher demand for manufactured goods (Actual output changes)
 ✓ D an improvement in manufacturing technology (productivity ↑)

- 4 Very heavy rain often causes houses to flood. The government protects the area with flood defence schemes while households buy sandbags to protect their houses.

How would an economist classify these items?

public good

	flood defence schemes	sandbags
A	merit goods	private goods
B	merit goods	public goods
✓ C	public goods	private goods
D	public goods	public goods

Bought by individuals, price attached to it, private good.

Public goods

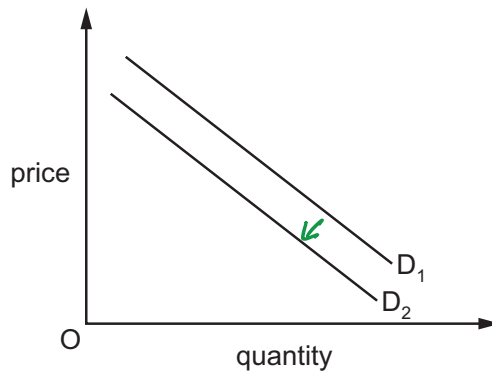
Non Rival
 Non Excludable
 Non Rejeatable
 free rider problem

Private goods

Rival
 Excludable
 Rejeatable
 price mechanism

4

- 5 The diagram shows the demand for air travel in Asia.



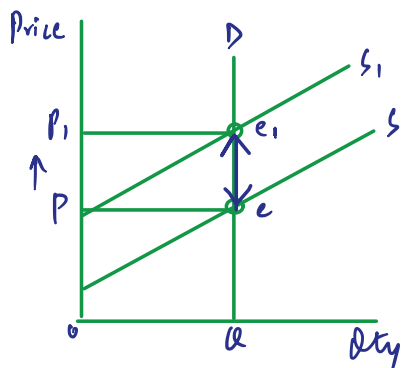
If air travel is a normal good, what could have caused the shift in the demand curve from D_1 to D_2 ?

- ✓ A a fall in employment in Asia (Less income, Demand ↓)
 B a fall in the price of aviation fuel (Demand for air ↑)
 C an increase in road congestion (Demand for air ↑)
 D an increase in the price of train travel (Demand for air ↑)
- Price factor (movement) [Ceteris paribus]
- 6 What will not cause a shift in the market supply curve of a commodity?
- A a change in technology (Shift)
 B a rise in the price of a factor input (Shift) (Supply ↓)
 ✓ C a rise in the price of the commodity (movement)
 D the introduction of a specific tax on the commodity (Shift) (Supply ↓)

- 7 A government imposes a specific tax on a good. The equilibrium price rises by the same amount as the tax. ⁶ [?]
 e.g. 10%.

What can be concluded about the price elasticity of demand for the good?

- A It is perfectly elastic. (No change in price)
 ✓ B It is perfectly inelastic. (No alternatives) (When all 2M Teachers are dead, only 2M lives, I will pass the entire Burden on you!)
 C It is unitary. (Price doesn't rise by full amount)
 D Nothing can be determined about price elasticity of demand. (It can)



Vertical distance between
 2 supply curve is called
 per unit tax!
 $[e - e_1]$

5

Inferior

- 8 What can be concluded about a product which has an income elasticity of demand (YED) of -1.5 and a cross-elasticity of demand (XED) of +1.2 with another product?

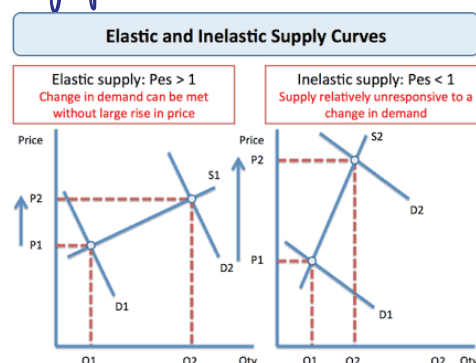
→ substitutes

	YED figure	XED figure
A	The product is an inferior good.	The other product is a complement.
☒ B	The product is an <u>inferior</u> good.	The other product is a <u>substitute</u> .
C	The product is a normal good.	The other product is a complement.
D	The product is a normal good.	The other product is a substitute.

- 9 A product has a low price elasticity of supply. Inelastic supply, low responsiveness of produce

What might explain this?

- A The product has a low opportunity cost. no
- ☒ B The product has a perishable nature. [Can't be stored]
- C The product is classed as an inferior good. (YED)
- D The product is considered to be a necessity. (PED)



- 10 A firm is producing 100 units at price \$10. The price elasticity of supply is 0.5, and price is raised to \$12.

What is the new level of output?

- A 75 ☒ B 110 C 125 D 150

$$PES = \frac{\% \Delta \text{ in QS}}{\% \Delta \text{ in price}} = \frac{x}{\frac{\text{new} - \text{old}}{\text{old}} \times 100}$$

$$0.5 = \frac{x}{\frac{12 - 10}{10} \times 100}$$

$$0.5 = \frac{x}{20}$$

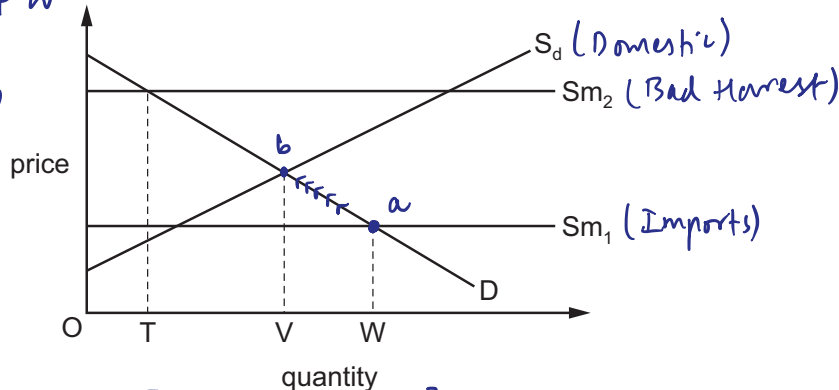
$$x = 10\%$$

$$100 (\text{old output}) \times 10\% \Rightarrow 10$$

$$100 + 10 = \underline{\underline{110}}$$

- 11 The diagram shows the market for coffee in a small coffee-producing country. The domestic supply of coffee is represented by S_d . The supply curve of imports was initially Sm_1 . A bad harvest that affects only other coffee-producing countries shifts the supply curve of imports to Sm_2 .

* Earlier consumption at 'W'
 * After Bad Harvest
 consumption will be 'V'



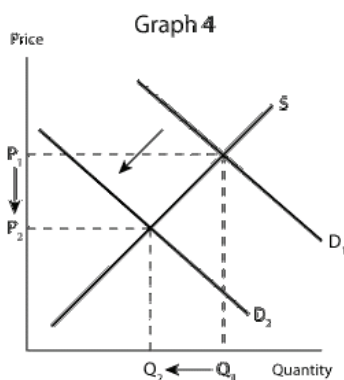
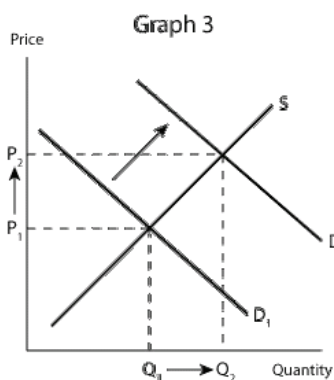
How will consumption and imports be affected by the supply change?

- A Consumption falls by ^{yes} VW and imports fall to ^{no} OT.
 B Consumption falls by VW and imports fall to zero. (As it is above domestic price level)
 C Consumption is ^{no} unchanged and imports fall to OT. (No)
 D Consumption is ^{no} unchanged and imports fall to zero. ^{yes}

- 12 When demand for a good falls, its price falls. (Because of surplus)

What is the function of the price fall?

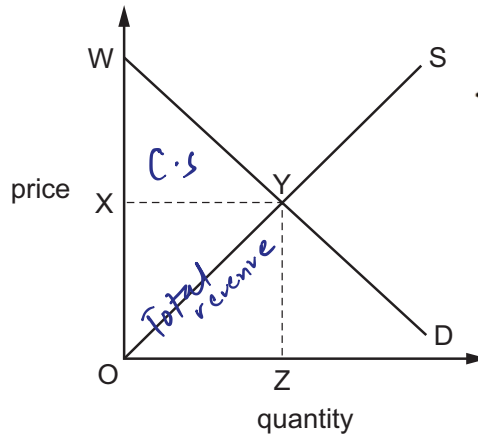
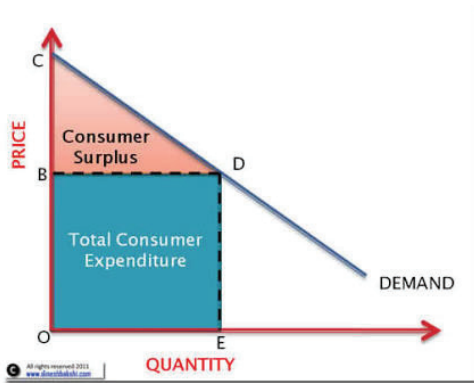
- A to eliminate shortages (For this, price rises)
 B to reduce consumer surplus (For this, price rises)
 C to send a signal to producers [yes] (Price mechanism)
 D to stimulate a further fall in demand (No)



* Price mechanism, is where prices provide signal to the producer to allocate resources in profit maximizing manner!

7

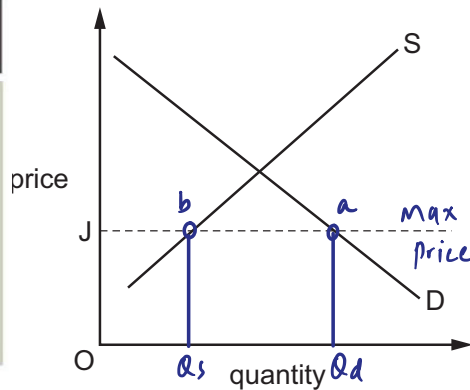
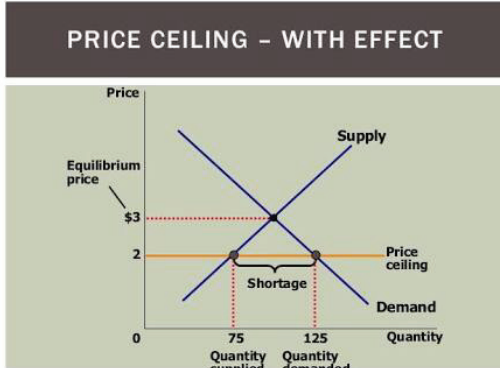
13 The diagram shows the market for computers in Pakistan.



What can be concluded about the value of consumer surplus?

- ☒ A It is less than producer revenue. TR/TE
- ☐ B It is less than producer surplus. (same) $C.S = XWY$
- ☐ C It is more than producer revenue. (no) $P.S = OXY$
- ☐ D It is more than producer surplus. (same) $TR/TE = OXYZ$

14 The diagram shows the demand and supply curves of a good.



Q_s :- Quantity supplied
is quantity
traded.

The government sets a maximum price of OJ for the good.

How will this affect the consumers and producers of the good?

	effect on consumers	effect on producers
A	All consumers will gain.	Producers will lose.
B	All consumers will gain.	Producers will gain.
C	Some consumers will gain and some will lose.	Producers will gain.
☒ D	Some consumers will gain and some will lose.	Producers will lose.

First come
first serve,
Rationing etc !

Faces shortage

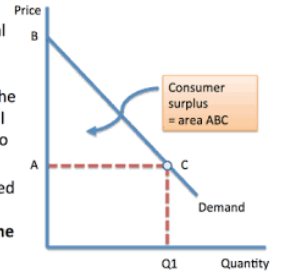
Quantity traded will be
less than the
equilibrium

[Turn over

What is Consumer Surplus?

Consumer surplus is a measure of the economic welfare that people gain from purchasing and then consuming goods and services

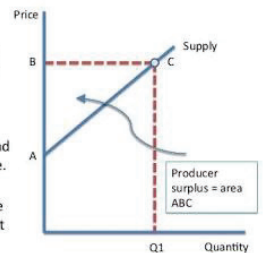
- Consumer surplus is the difference between the total amount that consumers are willing and able to pay for a good or service (shown by the demand curve) and the total amount that they actually do pay (i.e. the market price).
- Consumer surplus is indicated by the area under the demand curve and above the market price.



What is Producer Surplus?

Producer surplus is the difference between two price levels

- Producer surplus is the difference between the price producers are willing and able to supply a good or service for and the price they actually receive.
- Producer surplus is shown by area above the supply curve and below the current market price.
- Higher prices provide an incentive to supply more to the market. This is due to the profit motive.



- 15 A simple income tax system would be one in which income under \$10 000 is not taxed. Above \$10 000 an income tax rate of 30% is applied to all additional income.

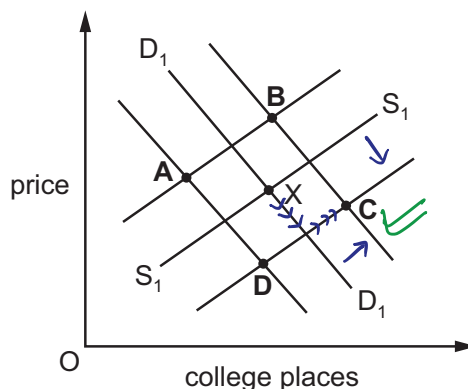
What is correct for people earning more than \$10 000?

	average rate of tax ^{↑ per \$}	marginal rate of tax ^{↑ 'Additional'}
A	increases as incomes increase	increases as incomes increase
☒ B	<u>increases as incomes increase</u>	<u>remains constant as incomes increase</u>
C	remains constant as incomes increase	increases as incomes increase
D	remains constant as incomes increase	remains constant as incomes increase

- 16 The diagram shows possible demand and supply curves for places in colleges in a country. The initial equilibrium position is X. To increase the number of students in colleges, a government subsidises the colleges and also gives a grant of money to the students. $\Rightarrow$ Income $\uparrow$ (Demand $\uparrow$)

What would be the new equilibrium position?

cost $\downarrow$
(Supply $\uparrow$)



- 17 Which term is given to an income received by an individual for which there is no corresponding contribution to output?

- A profit
B revenue
C salary
☒ D transfer payment

output made

A payment made or income received in which no goods or services are being paid for, such as a benefit payment or subsidy

These payments are considered to be non-exhaustive because they do not directly absorb resources or create output. Examples of transfer payments include welfare, financial aid, social security, and government making subsidies for certain businesses (firms).

A transfer payment, in the United States, is a one-way payment to a person for which no money, good, or service is given or exchanged. Transfer payments are made to individuals by the federal government through various social benefit programs.

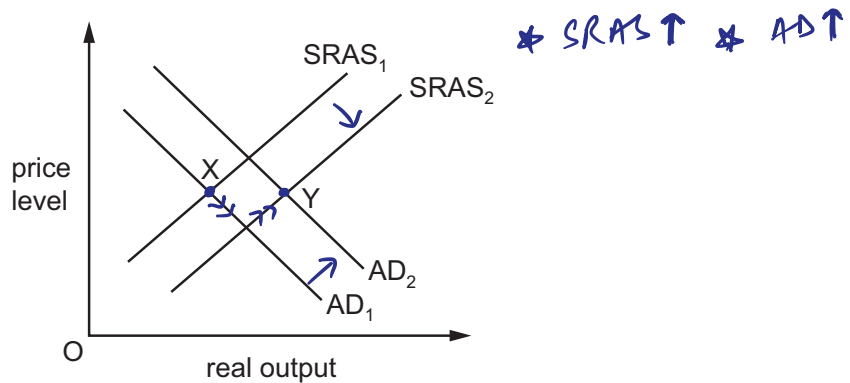
- 18 A government's budget deficit was reduced. Budget deficit [$G > \text{Tax revenue}$]

What might have caused this?

$G \downarrow$, Tax revenue $\uparrow$

- A a decrease in the revenue from vehicle tax (Budget deficit $\uparrow$) (Tax revenue $\downarrow$)
B an increase in the rate of subsidy given to libraries ($G \uparrow$) (Budget deficit)
C a purchase of two warships for the national defence ($G \uparrow$) (Budget deficit)
☒ D a sale of a publicly owned energy company to the private sector (Funds recovered) (deficit reduced)

- 19 The diagram shows aggregate supply curves and aggregate demand curves for an economy.



What is most likely to cause the equilibrium position to move from X to Y?

- A a decrease in corporation tax and a decrease in labour productivity *AS ↓*
- ☒ B a decrease in interest rates and a decrease in electricity prices *AD ↑, AS ↑*
- C an increase in interest rates and an increase in raw material costs *AS ↓*
- D an increase in marginal tax rates and a decrease in labour productivity *AD ↓, AS ↓*

- 20 The table shows the share of a worker's income spent on three classes of good and the percentage change in the prices of the goods over a year.

Base year = 100

	share of income spent on goods	change in prices of goods
clothing	25%	+25%
food	50%	+50%
fuel	25%	-25%

100%

I W

$$125 \times 25 = 3125$$

$$150 \times 50 = 7500$$

$$75 \times 25 = 1875$$

$$12500$$

Over the same period the worker's money income rises by 25%.

What happens to the worker's real income?

- A It falls by 25%.
- B It falls by 50%.
- C It rises by 25%.
- ☒ D It is unchanged.

$$\frac{12500}{100} = 125 \text{ i.e. } 25\% \uparrow \text{ in price level}$$

$$\text{Real income \%} = \text{Money income \%} - \text{Inflation \%}$$

$$\text{Unchanged} = 25\% - 25\%$$

10

Deflation, persistent and
 ↑ sustained fall in price
 level, value of money ↑

- 21 Over a period of a year, the annual rate of inflation becomes negative.

Which statement must be correct?

- ☒ A The cost of living has fallen. (yes)
 B The purchasing power of money has fallen. (increased)
 C The standard of living has increased. (fallen) (as AD ↓)
 D There has been an increase in the Consumer Price Index. (fall)

- 22 What would cause an immediate increase in the deficit in a country's balance of payments on the current account?

- A a rise in government expenditure on education (domestic)
☒ B a rise in the cost of imported raw materials used in domestic production (inelastic demand)
 C a rise in the foreign ownership of domestic companies [current account improves] (Net incomes)
 D a rise in the total wages earned by nationals working abroad [Net incomes improved]

- 23 The table shows the Canadian current account of the balance of payments in 2005 and 2006.

The change in which item contributed the most to the move from 'surplus' to 'deficit' in the Canadian current account balance between 2005 and 2006?

		2005 (\$m)	2006 (\$m)
☒ A	balance of trade in goods	62 372	-4 568
B	balance of trade in services	12 055	-22 663
C	investment income balance	-22 917	-14 145
D	transfers balance	-1 498	-2 148
	total	25 902	-43 523

most ⇒ 66 940

Total = 34 718

] Already in deficit

- 24 A depreciation of the exchange rate of the UK pound (£) against the US dollar (\$) from £1:\$1.50 to £1:\$1.00 must mean that

- ☒ A dollars will become more expensive in terms of pounds.
 B the pound will be undervalued. (no government)
 C UK imports from the US will become cheaper. (Expensive)
 D US imports from the UK will become more expensive. (cheaper)

£ 1 : \$ 1.50
 £ 1 : \$ 1
 ↓ ↓
 Depreciate Appreciate
 X prices ↓ X prices ↑
 M prices ↑ M prices ↓

- 25 A country has no controls on transactions in foreign exchange and allows its exchange rate to float freely. (*Demand and supply*)

What will always be zero?

- A net inward investment
- B the country's foreign exchange reserves
- C the current account balance of payments position
- ☒ D the overall balance of payments position

"A problem solves its problem by itself"

- 26 The table gives the terms of trade index for Brunei Darussalam for the period 2009 to 2012.

Apply %

$$\frac{\text{New} - \text{old}}{\text{old}} \times 100$$

	2009	2010	2011	2012
terms of trade index	100.0	107.2	124.9	134.5

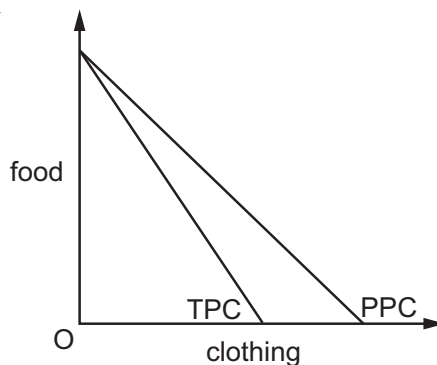
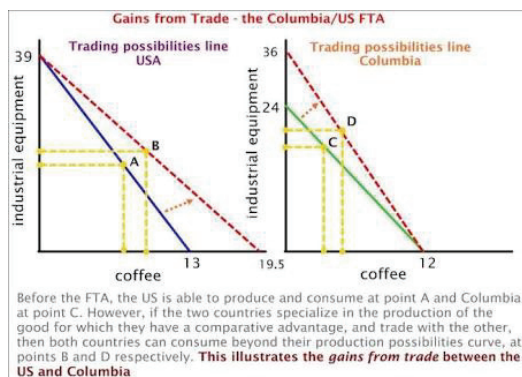
$$ToT = \frac{X \text{ prices}}{M \text{ prices}} \times 100$$

What can be concluded from the table?

- A Export prices were 34.5% higher in 2012 than in 2009.
- B Import prices were 34.5% lower in 2012 than in 2009.

- ☒ C The ratio of export to import prices was 34.5% higher in 2012 than in 2009. [$134.5 - 100 = 34.5\%$]
- D The terms of trade increased by 34.5% during 2012. (*7.6%*)

- 27 The diagram shows an economy's production possibility curve, PPC, and trading possibility curve, TPC.



Trade Possibilities Curve

By specializing according to *comparative advantage*, nations minimize the opportunity cost of producing. This will increase output with no additional resources required. When nations trade their surplus output everyone, the world over gets to consume more.

Why is the diagram **not** able to demonstrate the benefits of international trade?

- A It assumes there are no transport costs and no barriers to trade. [*Assumption*]
- B It deals with only two products. (*It always deals with 2 products*)
- C The curves are drawn as straight lines. (*It is always*)
- ☒ D The position of the curves does not support the existence of benefits.

* TPC is inside PPC, it should be towards its right to attain the unattainable

12

AD↑

28 Which government policy will increase aggregate demand?

- A raising indirect taxation $Tax↑, cost↑, AS↓, prices↑, C↓$
- ☒ B reducing the budget surplus $Tax\ revenue↓, G↑, AD↑$
- C removing domestic subsidies $G↓, AD↓$
- D removing import quotas $M↑, M(TE)↑, AD↓$ (Domestic consumption↓)

Expenditure
Dampening
Policy↑

29 What would be the best policy for a country to reduce a balance of payments deficit?

- ☒ A an increase in interest rates $R↑, save↑, spend↓, C↓, M(TE)↓, Deficit↓$
- B an increase in the exchange rate (Imports cheaper, Deficit↑)
- C a reduction in direct taxes $Tax↓, C↑, M(TE)↑, Deficit↑$
- D a reduction in subsidies to domestic industry $X\ prices↑, X(TE)↓, Deficit↑$

30 Country X is an open economy with a fixed exchange rate.

Which combination of fiscal and monetary policies would be most effective in reversing a deflation? (AD↑)

	fiscal policy	monetary policy
☒ A	lower direct taxes	devaluation
B	lower direct taxes	revaluation
C	lower indirect taxes	devaluation
D	lower indirect taxes	revaluation

→ Money supply↑
 $R↓, ER↓$
Devaluation
 $X\ prices↓, M\ prices↑$
 $X(TE)↑, M(TE)↓$
Trade Surplus
AD↑

Tax↓ (Direct)
Disposable income↑ (C↑) →
Retained profits↑ (I↑) → AD↑

$$AD = C + I + G + (X - M)$$

$\uparrow \quad \leftarrow \quad \uparrow \quad \uparrow \quad \uparrow \quad \uparrow$

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